



“BY SPECIAL CATEGORY STATUS, STATES ARE ASKING FOR A SPECIAL ASSISTANCE PACKAGE. THIS WILL HAVE TO BE DESIGNED BY A GOVERNMENT BODY DEPENDING ON THE REQUIREMENTS OF THE STATE”

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continue, depending on the interest from investors. The government is also looking to sell off assets of Bharat Sanchar Nigam Ltd (BSNL) and Mahanagar Telephone Nigam Ltd (MTNL), which own a large amount of real estate. “There is an identified pool of assets that can be taken up for complete privatisation. The decision will have to be taken by the government on how it wants to proceed,” say sources, adding that there could be issues with the sell-off of units in certain states that allies may not like.

But further stake sales and strategic sales may not be so easy, especially plans for privatisation of public sector banks and a few insurance companies. “Any unpopular move will be avoided clearly for the near term due to a reduced mandate,” Suresh Ganapathy, Managing Director and Head of Financial Services Research at Macquarie Capital, writes in a recent note.

The most important move under the new coalition government is likely special financial packages for Andhra Pradesh and Bihar. New coalition partners TDP and JD(U) have for long been demanding special category status for Andhra Pradesh and Bihar, respectively. Experts point out that the definition of special category status may have to be tweaked as there is no Planning Commission that used to decide on the Plan expenditure and a financial package may be an easier solution.

Bihar Chief Minister Kumar had in 2005—when he was first sworn in as the state’s CM—called for special category status, contending that the state remains backward and under-developed. He reiterated this demand last November. Naidu, too, has been campaigning for special category status for Andhra Pradesh as the bifurcation of the state led to a loss of revenue, with Hyderabad, the capital of the unified state, becoming a part of Telangana. Naidu, who is the new Andhra Pradesh CM, is also hoping to revive a shelved plan to reinstate Amaravati as the state capital, which would require funds.

Rao points out that the tag of special category status was earlier given by the National Development Council, which no longer exists. “This can perhaps now be done through a Cabinet resolution,” he says, adding that funds for a special assistance package are given through the Union government’s budgetary allocation and does not require any special fiscal measure. A special assistance package is more likely, he says.

D.K. Srivastava, Chief Policy Advisor at EY India, says special category status was a concept that was relevant as long as the Planning Commission existed as it typically applied to Plan Assistance. “The concept of Plan Assistance is not there anymore. By special category status, states are asking for a special assistance package,” he says, adding that this will have to be designed by a government body such as the NITI Aayog or the finance ministry, depending on the requirements of the state.

A special category status enabled Plan Assistance as 90% grant compared to 30% grant for other states. In centrally sponsored schemes, these states also receive 90% grant from the Centre as compared to 60% in the case of other states. As much as 30% of the Union expenditure is also incurred in these states. Funds to these states also don’t lapse at the end of the fiscal.

But Rao warns that giving this status to Bihar and Andhra Pradesh will open a Pandora’s box. “While Bihar has the lowest per capita income in the country, Uttar Pradesh has the second lowest, and it will also seek a similar dispensation. Other states like Jharkhand, Chhattisgarh, Rajasthan and Madhya Pradesh will also not be far behind in asking for a similar benefit,” he says.

Clearly, this could impact the Centre’s carefully planned fiscal consolidation road map that aims to attain a level of fiscal deficit lower than 4.5% of GDP by FY26. But for now, there are many factors at play and several issues to be discussed. How the Narendra Modi 3.0 government takes them forward in the coming weeks and months could set the ball rolling for the next five years. **BT**

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